BENTONVILLE, ARKANSAS

KARST

Business Model

407–409 SE F St — SE Market District

February 2026

Confidential

Business Model — Bentonville Wellness Center

> *Revenue model, tiered membership, capacity assumptions, and developer value proposition. Directional pro forma for conversation-starting — not auditable financials.*

Revenue Streams (7 Identified)

#	STREAM	TYPE	DESCRIPTION
1	**Memberships**	Recurring	Tiered monthly memberships (base, premium, all-access)
2	**Day passes & sessions**	Transactional	Single-visit access to contrast therapy, classes, facilities
3	**Classes & programs**	Recurring + transactional	Drop-in classes, multi-week programs, workshops
4	**Media & content**	Recurring	Brand sponsorships, affiliate revenue, content licensing, equipment partnerships
5	**Nutrition bar / co-op**	Transactional	Food, beverage, and CSA produce sales (public-facing, no membership required)
6	**Practitioner services**	Transactional	PT, massage, functional medicine consultations (revenue share with practitioners)
7	**Events & space rental**	Transactional	Community events, private events, corporate wellness bookings, meeting space

Tiered Membership Model

Tier Structure

TIER	MONTHLY PRICE	WHAT'S INCLUDED	TARGET MEMBER
Foundation	$99-149/mo	Strength floor, functional movement area, climbing wall, 4 classes/month, nutrition bar discount	Active professionals who want premium fitness
Immersion	$150-249/mo	Everything in Foundation + unlimited contrast therapy (sauna, plunge, steam, baths), unlimited classes, library access	Wellness-committed individuals, recovery-focused athletes
All-Access	$250-350/mo	Everything in Immersion + priority booking, guest passes (2/mo), practitioner discounts, media studio access (scheduled), rooftop reserved hours, community event access	High-engagement members, content creators, executives

Add-Ons (available to any tier)

ADD-ON	PRICE	DESCRIPTION
Guest pass	$35-50/visit	Single guest, any access level of member's tier
Practitioner session	$80-150/session	PT, massage, functional medicine (revenue share)
Private event	$500-2,000	After-hours event space rental
Corporate package	Custom	Bulk memberships, team wellness days, offsite bookings

Day Passes (non-members)

PASS	PRICE	ACCESS
Contrast therapy session	$45-65	Underground level only — sauna, plunge, steam, baths (2-hour window)
Day pass — full facility	$75-95	All areas except media studio for one day
Class drop-in	$25-35	Single class — yoga, Pilates, breathwork, etc.

Capacity & Utilization Assumptions

Facility Capacity

AREA	MAX SIMULTANEOUS	DAILY THROUGHPUT (EST.)
Underground (contrast therapy)	80-100 persons	300-400 (rotating 2-hour sessions)
Strength floor	30-40 persons	150-200
Studios (3 rooms)	20-30 per room	150-250 (4-6 classes/day/room)
Library / upper level	30-40 persons	80-120
Rooftop	20-30 persons	60-100
Total building capacity	**~200 simultaneous**	**~800-1,000 daily throughput**

Membership Capacity Model

METRIC	ASSUMPTION	RATIONALE
Total membership cap	1,500-2,000 members	~7-10x simultaneous capacity — typical for premium fitness
Average visit frequency	3x/week per active member	Premium wellness members are high-frequency
Peak utilization	60-70% of max capacity	Morning, lunch, evening peaks; off-peak lighter
Non-member day passes	10-20/day average	Tourists, trial visits, Greenway trail traffic

Membership Mix Target (at maturity)

TIER	% OF MEMBERS	COUNT (AT 1,500)	MONTHLY REVENUE
Foundation ($125 avg)	40%	600	$75,000
Immersion ($200 avg)	40%	600	$120,000
All-Access ($300 avg)	20%	300	$90,000
Total membership	**100%**	**1,500**	**$285,000/mo**

Revenue Projections (Directional)

Annual Revenue at Maturity (Year 3+)

STREAM	MONTHLY EST.	ANNUAL EST.	% OF TOTAL
Memberships	$285,000	$3,420,000	55%
Day passes & sessions	$40,000	$480,000	8%
Classes & programs	$25,000	$300,000	5%
Media & content	$50,000	$600,000	10%
Nutrition bar / co-op	$29,000	$350,000	6%
Practitioner services	$30,000	$360,000	6%
Events & space rental	$35,000	$420,000	7%
Total	**$494,000**	**$5,930,000**	**100%**

Ramp Assumptions

YEAR	MEMBERSHIP	REVENUE (% OF MATURE)
Year 1 (months 1-12)	400 → 800	35-45%
Year 2	800 → 1,200	60-75%
Year 3 (maturity)	1,200 → 1,500	85-100%
Year 4+ (growth)	1,500 → 2,000	100-120%

Media Revenue Model (Detailed)

The media studio isn't a cost center — it's a revenue engine that differentiates this concept from every other wellness facility.

Revenue Streams from Media

SOURCE	ANNUAL EST.	HOW IT WORKS
Brand sponsorships	$200,000-300,000	Wellness brands (equipment, supplements, wearables, nutrition) sponsor podcast/video content produced in the studio. 2-4 sponsors at $50-100K/year.
Affiliate/referral	$100,000-150,000	Products featured in content generate affiliate commissions. Wearables, supplements, equipment, books.
Content licensing	$50,000-100,000	Recovery protocols, class programming, and instructional content licensed to other facilities or digital platforms.
Equipment partnerships	$50,000-100,000 (in-kind + cash)	Premium equipment brands (Rogue, Eleiko, Hyperice, Therabody) provide gear at discount/free in exchange for content visibility and endorsement.

Why This Works

- The building is inherently **camera-ready** — every space is visually stunning, designed for content
- Bentonville's emerging identity as a health/wellness hub gives content **geographic authority**
- National audience reach multiplies brand value far beyond local membership economics
- Content drives **wellness tourism** — destination visitors who pay day-pass rates
- Creates a **flywheel:** great content → national brand recognition → more sponsorships → better programming → more members → more content

Comparable Concepts — Revenue Benchmarks

CONCEPT	LOCATION	SIZE	MEMBERSHIP	REVENUE EST.	NOTES
Othership	Toronto	~5,000 sq ft	Sessions-based, ~$200+ CAD/mo	$2-3M CAD	Breathwork + thermal. Small format. Strong media/app.
Sauna House	Asheville + expanding	~3-5K sq ft/location	$100-175/mo	$1-2M/location	Expanding rapidly in similar markets. Validates non-coastal demand.
Bathhouse	Brooklyn	~16,000 sq ft	Day passes $65-95	$5-8M est.	Thermal + F&B + events. Massive day-pass volume.
BlakeSt.	Bentonville	Small format	$149-299/mo	$1-2M est.	Single-modality recovery. Local competitor.
Equinox	National	30-60K sq ft	$200-375/mo	$10-15M/club	Premium fitness benchmark. Our pricing is below Equinox.

CONCEPT	LOCATION	SIZE	MEMBERSHIP	REVENUE EST.	NOTES
Aire Ancient Baths	NYC, Chicago, etc.	~8-12K sq ft	$90-200+/session	$5-10M est.	Ultra-premium thermal. Session-based, not membership.

Key insight: Our projected ~$5.9M at maturity is conservative relative to comparable concepts at similar scale. The media revenue layer ($600K) is additive — the model works at $5.3M without it.

Operating Cost Estimates (Directional)

CATEGORY	MONTHLY EST.	ANNUAL EST.	% OF REVENUE
Staff (30-40 FTE + contractors)	$120,000	$1,440,000	24%
Rent/lease/mortgage	$50,000-80,000	$600,000-960,000	10-16%
Utilities (high — thermal operations)	$25,000-35,000	$300,000-420,000	5-7%
Insurance	$8,000	$96,000	2%
Equipment maintenance	$10,000	$120,000	2%
Marketing	$15,000	$180,000	3%
Nutrition bar COGS	$13,000	$155,000	3%
Technology/software	$5,000	$60,000	1%
Content production	$10,000	$120,000	2%
General/admin	$10,000	$120,000	2%
Total operating	**$275,000-315,000**	**$3,300,000-3,780,000**	**54-62%**

Margin Profile

METRIC	ESTIMATE
Gross margin (membership)	~85%
EBITDA margin (at maturity)	35-45%
Annual EBITDA (at maturity)	$2.1-2.7M
Break-even membership	~600-700 members

Development Cost Estimates

COMPONENT	EST. RANGE	NOTES
Property acquisition	Developer partner	Co-development model — developer acquires
Adaptive reuse + new construction	$10-20M	30-40K sq ft at $300-500/sq ft (premium buildout)
FF&E (furniture, fixtures, equipment)	$1-2M	Premium fitness equipment, sauna systems, commercial kitchen
Technology infrastructure	$200-400K	Wearable integration, climate control, media studio tech
Pre-opening costs	$300-500K	Staffing, marketing launch, inventory
Total development	**$12-23M**	Wide range — depends on underground scope

NWA cost advantage: Construction costs in NWA are 15-25% below coastal markets, making premium buildout more financially viable.

Developer Value Proposition

The Pitch to Ramsay Ball / Focus

You're not just getting a tenant. You're getting an ecosystem completion.

The Argument

1. **Foot traffic engine.** A wellness destination generating 500-800+ daily visits creates persistent foot traffic for adjacent retail, F&B, and office spaces. This is the highest-traffic use available for this block.
2. **Property value uplift.** Wellness destinations are proven property value multipliers in mixed-use districts. They anchor neighborhoods the way cultural institutions do — Crystal Bridges raised downtown Bentonville property values; this concept does the same for SE Market District.
3. **Ice House synergy.** The 2028 Ice House redevelopment gains an immediate anchor neighbor. Office tenants, retail operators, and restaurant concepts all benefit from having a wellness destination on the same block. The buildings create a campus, not just adjacency.
4. **Demographic lock.** The wellness center's membership base (1,500-2,000 high-income households) creates a captive audience for every other commercial tenant on the block. These members visit 3x/week. They eat, shop, and socialize adjacent.
5. **Brand halo.** A nationally-visible content brand based in your building elevates the entire district's identity. When the podcast reaches 100K+ listeners, the address becomes a destination.
6. **Complementary, not competitive.** This concept doesn't compete with any planned use in the Ice House or SE Market District. It fills the one gap the neighborhood has: a wellness anchor.

Proposed Structure: Co-Development Partnership

ELEMENT	DEVELOPER (FOCUS)	OPERATOR (OUR TEAM)
Property acquisition	Yes	—
Construction/buildout	Yes (or co-invest)	Design input, programming specs
Lease structure	Long-term (15-20 year)	Triple-net or modified gross
Buildout contribution	TI allowance or co-invest	Operator-funded FF&E
Revenue share	Optional upside participation	Operations, content, membership
Brand ownership	—	Yes

The ask: A co-development conversation, not a lease negotiation. We need a developer partner who sees this as an investment in the entire block, not just a tenant placement.

What We Bring

- **Concept and programming** — fully developed vision with national comparable validation
- **Operations team** — four founders covering health optimization, movement, coaching, and community
- **Content engine** — media production capability that creates national brand value from day one
- **Network** — connections to Cipher (health optimization), wellness industry, content ecosystem
- **Customer base** — existing NWA community relationships and built-in audience

What We Need

- **Real estate partner** — acquisition and development of 407-409 SE F St
- **Capital** — construction financing for premium buildout
- **Infrastructure** — zoning, permitting, utility connections, construction management
- **Timeline alignment** — development schedule coordinated with Ice House (2028)

Comparable Developer Outcomes

DEVELOPMENT	WELLNESS COMPONENT	OUTCOME
Equinox Hudson Yards	Equinox flagship + hotel	Anchored retail and residential pricing in NYC's newest neighborhood
Therme Manchester	Massive thermal wellness	Attracted $300M+ in adjacent development commitments
1 Hotel Brooklyn Bridge	Wellness-forward hotel	Elevated entire Brooklyn Bridge Park commercial corridor
8th Street Market (Bentonville)	Culinary/food hall anchor	Created the SE Market District identity — foot traffic catalyst

Pattern: Wellness destinations create outsized value for their neighborhoods. Our concept applies this proven pattern to the specific block where it's most needed.

All financial projections are directional estimates for conversation-starting purposes. Formal financial modeling, market study, and legal/tax structuring required before any commitments.

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